



INDIA HAS ITS growth path charted out: to become a developed nation by 2047, and to make that a reality, it is looking at robust expansion in the power sector. Union Budget 2025-26 lists the power sector as one of the six domains to augment growth potential and global competitiveness in the next five years.

Finance Minister Nirmala Sitharaman focussed on India's energy transition goals by enhancing budgetary allocation for clean power production and ensuring energy security for the country by boosting capabilities to produce coal.

If numbers can tell a story, consider this: allocation to clean energy got a near 40% boost in FY26 over the last fiscal, with the solar segment getting three-fourths of the pie. The rooftop solar scheme was a clear winner, seeing a 220% jump in capital expenditure (capex) this year. This sits well with the government's ambitious plan of supplying solar power to 10 million households by March 2027, according to the Ministry of New and Renewable Energy.

The second-highest allocation went to the coal sector—a 160% jump—as India continues to rely on coal for meeting its energy demands. This also includes a ₹300 crore allocation for coal and lignite gasification—a lower emission pathway.

The Budget also looks at stepping up clean tech manufacturing to develop domestic markets and increase nuclear power generation, electricity distribution reforms, and augmentation of intra-state transmission capacity by states.

Pratik Agarwal, Managing Director of power transmission company Sterlite Power and Chairman of renewable green energy company Serentica Renewables, says while there is a continued focus on domestic manufacturing of generation and storage equipment, there is new-found mention of high-voltage transmission equipment.

“Given that there are global deficits in this product category, focussing on this sub-segment is a very sound move,” Agarwal adds.

GREEN POWER

1 Allocation of ₹20,000 crore for Nuclear Energy Mission for developing Small Modular Reactors

2 Allocation to clean energy got a near 40% boost in FY26 over the last fiscal

3 Budget also looks at stepping up clean tech manufacturing

4 FM also lowered the basic customs duty on imported solar cells from 25% to 20%

5 Budget includes a ₹300-crore allocation for coal and lignite gasification

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